IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-V

C.P.(CAA)/59/(PB)2021
IN
C.A.(CAA)/23/(PB)2020

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

In the Matter of Scheme of Amalgamation

1. **ANYA PROMOTERS PRIVATE LIMITED**
   Registered Office: 70 Defence Enclave, Delhi-110092.

...Transferor Company -1/
Petitioner Company-1

AND

2. **UPKAR SALES PRIVATE LIMITED**
   Registered Office: 1074, Naya Katra, Chandni Chowk, New Delhi-110006

... Transferor Company-2 /
Petitioner Company-2

AND

3. **ATISHAY JEWELLERS PRIVATE LIMITED**
   Registered Office: 1167, Kucha Mahajani, Chandini Chowk Delhi-110006

... Transferee Company/
Petitioner Company-3

Coram:

SH. TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Counsel for Petitioner/Applicant:	**Mr. Sumit Kumar Batra, Company Secretary**
Counsel for RD	Ms. Shankari Mishra, Advocate.
Counsel for OL	Ms. Hemlata Rawat
Counsel for Income Tax Department	Mr. Zoheb Hossain, Sr. St. Counsel, Mr. Parth Semwal, Mr. Vipul Agrawal, Jr. St. Counsel for Revenue.

ORDER

PER:SH. RAHUL BHATNAGAR, MEMBER (TECHNICAL)

Date:17.02.2023

1. This petition has been jointly filed by M/s. Anya Promoters Private Limited, M/s. Upkar Sales Private Limited and M/s. Atishay Jewellers Private Limited ('Petitioner Companies') under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the proposed Scheme of Amalgamation. The proposed Scheme of Amalgamation is placed on record of this Tribunal.
2. The Transferor Company 1 i.e., M/s. Anya Promoters Private Limited was incorporated under the provisions of the Companies Act, 1956, presently having its registered office situated at 70, Defence Enclave

Delhi-110092. The registered office of the Transferor Company-1 is under the jurisdiction of this Tribunal.

3. The Transferor Company 2 i.e., M/s. Upkar Sales Private Limited was incorporated under the provisions of the Companies Act, 1956, presently having its registered office situated at 1074, Naya Katra, Chandni Chok, New Delhi-110006. The registered office of the Transferor Company-2 is under the jurisdiction of this Tribunal.

4. The Transferee Company i.e., M/s. Atishay Jewellers Private Limited was incorporated under the provisions of the Companies Act,1956, presently having its registered office situated at 1167, Kucha Mahajani, Chandini Chowk, Delhi-110006. The registered office of the Transferee Company is under the jurisdiction of this Tribunal.

5. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company No.1 and Transferor Company No.2 with Transferee Company would have the following benefits: -

   a) Simplify the shareholding structure of the group.

   b) Consolidation and simplification of the group structure, cost savings resulting from rationalization, standardization and simplification of business processes.

c) Improved organizational capability arising from pooling of financial resources.

d) Re-aligning the business operations as part of overall business reorganization plan.

e) Avoiding un-necessary duplication of costs of administration, distribution, selling and marketing.

f) Maximize the overall shareholders value.

6. The appointed date as fixed for the proposed scheme of Amalgamation is 01st April, 2019 or such other date as may be directed by the Hon'ble National Company Law Tribunal.

7. A perusal of the petition discloses that the first motion application bearing CA(CAA)/23/PB/2020 was filed by the Petitioner Company. Based on the averments made in the said application the Tribunal vide order dated 12.02.2021, had directed the Petitioner Companies to convene meeting of Equity Shareholders and Unsecured Creditors of the Transferor Companies and Transferee Company for the purpose of considering and, if thought fit for approving with or without modification the proposed scheme of Amalgamation

8. Further in terms of the direction of the Tribunal vide order dated 24.09.2020 (date of pronouncement) read with order dated 12.02.2021, directed the meetings of the shareholders of the Petitioner Companies to be convened on 10.04.2021 under the supervision of the Chairperson Advocate Harshita Singh.

9. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) concerned income tax department. The Petitioner Companies has filed an affidavit of service dated 31.03.2021 in respect of notice of petition served to the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana and the concerned income tax department.

10. The Petitioner Companies have filed affidavit of publication and service dated 04.01.2022 affirming that notice of hearing was duly advertised in "Business Standard"(Hindi) and "Business Standard"(English) New Delhi edition on 10.11.2021.

11. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us. Pursuant to the notice issued, Regional Director and Official Liquidator, have filed their report and participated in the proceedings.

12. The Regional Director, Northern Region, Ministry of Corporate Affairs has filed its report dated 12.09.2022, wherein observations raised by the Regional Director, Northern Region, Ministry of Corporate Affairs and RoC were satisfactorily replied by the Petitioner Companies. The RD (NR) in its report dated 12.09.2022 at para 12 observed that, *"On examination of the Scheme and the reply submitted by the Petitioner Companies, along with the observation of the RoC, it is to submit that the Petitioner Companies has submitted reply to the observations raised by the RoC and also the information/clarifications sought by the Deponent which seems to be satisfactory. In view of the above, it is prayed before the Hon'ble Tribunal to consider sanction of the scheme on its merits."*

13. The Official Liquidator, vide report dated 22nd April, 2022 has stated that the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its

members or to public interest as per the provisions of the Companies Act, 1956 / the Companies Act, 2013 whichever is applicable

14. The Income Tax Department has submitted its report wherein it was submitted that certain tax dues which are to be paid by the Petitioner Companies and the same matter is pending in appeal. The Petitioner Companies has filed the affidavit cum undertaking with respect to the payment of outstanding income tax liabilities after the approval of the proposed scheme of Amalgamation.
15. Considering the reply of the Petitioner Company and further, the undertakings of the Petitioner Company with respect to the observations and clarifications sought by the Regional Director and the payment of all the income tax dues by the Transferee Company, we find no impediment in approving the present scheme of amalgamation.
16. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.
17. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard

notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules. 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

18. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

19. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

20. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions:-

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

21. This tribunal further directs with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies

shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee

Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

22. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-	**Sd/-**
(SHRI RAHUL BHATNAGAR)	**(JUSTICE TELAPROLU RAJANI)**
MEMBER (T)	**MEMBER (J)**